

TENTATIVE RULINGS

Date: April 21, 2025

#	Case Name	Tentative
1	Model Builders, Inc. vs. Pham 2024-01382108	Demurrer to Amended Complaint Defendant Tony Dang’s Demurrers to the First Amended Complaint are SUSTAINED as to the sixth, seventh, eighth and ninth causes of action. Defendant Dang’s Request for Judicial is GRANTED as to Nos. 1, 2, 3, 4, 6, 7, 9, and 10 and DENIED as to Nos. 5 and 8. The Court does not take judicial notice of the truth of factual matters asserted in the documents. “A court may take judicial notice of the [e]xistence of each document in a court file but can only take judicial notice of the truth of facts asserted in documents such as orders, findings of fact and conclusions of law, and judgments.” <i>People v. Franklin</i> (2016) 63 Cal. 4th 261, 280. Plaintiffs allege they did not receive the Demurrer, but on reply Defendant Dang attached the proof of service on Plaintiffs’ counsel and Defendant Loc Pham by One Legal. <u>Sixth Cause of Action – Fraud</u> The elements of a cause of action for fraud are: (1) misrepresentation, which includes a concealment or nondisclosure; (2) knowledge of the falsity of the misrepresentation, i.e., scienter; (3) intent to induce reliance on the misrepresentation; (4) justifiable reliance; and (5) resulting damages. (<i>Small v. Fritz Companies, Inc.</i> (2003) 30 Cal.4th 167, 173.) “In California, fraud must be pled specifically; general and conclusory allegations do not suffice.” <i>Lazar v. Superior Court</i> (1996) 12 Cal.4th 631, 645. “This particularity requirement

necessitates pleading facts which show how, when, where, to whom, and by what means the representations were tendered.” *Ibid*.

The FAC alleges that Defendant Dang misrepresented his official capacity within Model Builders, Inc. and that he was not a licensed general contractor. (FAC ¶ 95.) He made these misrepresentations without the consent or knowledge of Plaintiffs when he entered into an agreement with Phung Van Tong. (FAC ¶¶ 4, 5.) Such misrepresentations caused a judgment against Plaintiffs Model Builders and Nghia Dao. (FAC ¶ 93.) Plaintiffs were then forced to enter into a settlement agreement with Phung Van Tong when they were not involved in the transaction between Defendant Dang and Tong. (FAC ¶ 94.)

In the underlying action, Case No. 30-2018-01036570 filed by Phung Van Tong against Nghia Dao d/b/a Model Builders and Tony Dang (“Previous Action”), the court found that current Plaintiff Dao was a signatory to the agreement with Tong – not Defendant Dang. Even though Defendant Dang was sued in the Previous Action, the court found no liability against him. (RJN, Ex. 6.) Therefore, without additional facts, Plaintiffs cannot state a claim for fraud against Defendant Dang.

Moreover, the fraud claim is barred by the statute of limitations. A claim for fraud must be brought within three years. *Code of Civil Procedure* § 338(d).

In paragraph 5 of the FAC, Plaintiffs allege Defendant Dang entered into an agreement with Tong without Plaintiffs’ consent and authorization. A dispute arose between Tong and Dang and a lawsuit was filed which is has been designated as Previous Action. (FAC ¶¶ 7 and 8.) In the Previous Action the First Amended Complaint (RJN, Exhibit 1) was filed and it became the operative pleading on 4/3/19. Plaintiff Dao, dba as Model Builders, was served with the First Amended Complaint and appeared by filing an Answer on July 29, 2019. (RJN, Exhibit 2) As a result, Plaintiff Dao had knowledge of the fraud which he is now claiming no later than July 29, 2019, because the “fraudulent” agreement that Plaintiff Dao alleges in paragraph 5 of this FAC was attached to the First Amended Complaint in the Previous Action. This action was filed on February 26, 2024, which is more than three years when Plaintiff Dao would have discovered any alleged fraud committed by Defendant Dang.

Accordingly, the demurrer to the sixth cause of action is SUSTAINED.

Seventh Cause of Action – Indemnification

The seventh cause of action for indemnification relies on the viability of the sixth cause of action for fraud. Because the sixth cause of action is barred by the statute of limitations, the claim for indemnification also fails.

Accordingly, the demurrer to the seventh cause of action is SUSTAINED.

Eighth Cause of Action – Unfair Business Competition

The Unfair Competition Law (UCL), *Business and Professions Code* section 17200 et seq., prohibits unfair competition, including unlawful, unfair or fraudulent business acts. *Cel-Tech Comm., Inc. v. Los Angeles Cellular Tele. Co.* (1999) 20 Cal.4th 163, 180. There are three types of UCL claims, those based on the “unlawful” prong, those based on the “unfair” prong, and lastly, those based on the “fraud” prong. *Puentes v. Wells Fargo Home Mortgage Inc.* (2008) 160 Cal.App.4th 638, 643-644.

By proscribing “any unlawful” business practice, section 17200 “borrows” violations of other laws and treats them as unlawful practices that the UCL makes independently actionable. “Virtually any law or regulation - federal or state, statutory or common law - can serve as predicate for a § 17200 ‘unlawful’ violation.” *Paulus v. Bob Lynch Ford, Inc.* (2006) 139 Cal.App.4th 659, 681; *Hale v. Sharp Healthcare* (2010) 183 Cal. App. 4th 1373, 1382-1383.

“[A]n ‘unfair’ business practice occurs when it offends an established public policy or when the practice is immoral, unethical, oppressive, unscrupulous or substantially injurious to consumers.” [citations omitted.] In general, the ‘unfairness’ prong ‘has been used to enjoin deceptive or sharp practices....’” *South Bay Chevrolet v. General Motors Acceptance Corp.* (1999) 72 Cal.App.4th 861, 886-887.

“The ‘fraud’ prong of the UCL requires that ‘members of the public are likely to be deceived’” by the challenged conduct.” *Bardin v.*

Daimlerchrysler Corp. (2006) 136 Cal.App.4th 1255, 1261.

Here, Plaintiffs allege Defendant Dang violated § 17200 when he misrepresented his capacity as a licensed general contractor and entered into a written agreement with Tong to perform acts requiring a license from the State of California. (FAC ¶ 120.) The FAC also alleges Defendant Pham assisted and conspired with Defendant Dang to conduct business without the required contractors license. But as determined above, the agreement was entered into between Plaintiff Dao and Tong – not Defendant Dang and Tong.

Moreover, the statute of limitations for violation of § 17200 is four years. *Business & Professions Code* § 17208. Plaintiffs should have been aware of the alleged fraud no later than July 29, 2019. This action was filed on February 26, 2024, which is more than four years later.

Accordingly, the demurrer to the eighth cause of action is SUSTAINED.

Ninth Cause of Action – Declaratory Relief

To qualify for declaratory relief, an action must present two essential elements: 1) a proper subject of declaratory relief, and 2) an actual controversy involving justiciable questions relating to the rights of obligations of a party. *Lee v. Silveira* (2016) 6 Cal.App.5th 527, 546; *Code of Civil Procedure* § 1060.

The “proper subjects” of declaratory relief are set forth in *Code of Civil Procedure* section 1060 and other statutes, and include contracts and written instruments and statutory interpretation. *Brownfield v. Daniel Freeman Marina Hospital* (1989) 208 Cal.App.3d 405, 410; *Doan v. State Farm General Insurance Co.* (2011) 195 Cal.App.4th 1082, 1095.

Plaintiffs have not pled what declaratory relief they seek. They have identified no contract or other written instrument in which they seek a declaration of their rights.

Moreover, because Plaintiffs have not stated a claim against Defendant Dang, this cause of action also fails.

		Accordingly, the demurrer to the ninth cause of action is SUSTAINED. Plaintiffs have 20 days leave to amend. Demurring party to give notice.
2	Brown vs. Colony Crest De Ville Community Association 2023-01324410	Demurrer to Amended Complaint Defendants Dave Brown and Linda Brown’s (Defendants) Demurrers to the Third Amended Complaint (TAC) of Plaintiffs Leland Brown and Kathryn Brown (Plaintiffs) are OVERRULED. At the pleading stage, the Court must liberally construe the complaint, drawing all reasonable inferences in favor of Plaintiffs’ asserted claims. <i>Liapes v. Facebook, Inc.</i> (2023) 95 Cal.App.5th 910, 919. “Where, as here, the demurrer is based on a claim that the pleading does not state facts sufficient to constitute a cause of action, if it appears that the plaintiff is entitled to any relief at the hands of the court against the defendants, the complaint will be held good, although the facts may not be clearly stated, or may be intermingled with a statement of other facts irrelevant to the cause of action shown, or although the plaintiff may demand relief to which he is not entitled under the facts alleged. [. . .] In reviewing the legal sufficiency of a demurrer, we are not concerned with plaintiff’s ability to prove the allegations of the complaint, or the possible difficulties in making such proof.” <i>Berry v. Frazier</i> (2023) 90 Cal.App.5th 1258, 1268. <u>1st Cause of Action - Breach of Contract</u> In this cause of action, Plaintiffs allege they reached a settlement of the easement dispute with Defendants at mediation on 8/18/22. Defendants breached the settlement agreement by placing a structure in the easement area which is not able to be temporarily removed and blocks Plaintiffs’ access the drainage system within the easement area. (TAC, ¶¶ 24-29.)